2. In the second stage the lack of investment merit has become manifest, and the price drops to a speculative level. During this period the decline is likely to be overdone, for reasons previously discussed.

3. A third stage sometimes appears in which the issue advances speculatively in the same fashion as common stocks. On such occasions certain factors of questionable importance—such as the amount of dividend accumulations—are overemphasized.

An example of this third or irrational stage will be given a little later.

The Rule of "Maximum Valuation for Senior Issues." Both as a safeguard against being led astray by the propaganda that is characteristic of the third stage and also as a general guide in dealing with speculative senior issues, the following principle of security analysis is presented, which we shall call "the rule of maximum valuation for senior issues."

> *A senior issue cannot be worth, intrinsically, any more than a common stock would be worth if it occupied the position of that senior issue, with no junior securities outstanding.*

This statement may be understood more readily by means of an example.

Company *X* and Company *Y* have the same value. Company *X* has 80,000 shares of preferred and 200,000 shares of common. Company *Y* has only 80,000 shares of common and no preferred. Then our principle states that a share of Company *X* preferred cannot be worth more than a share of Company *Y* common. This is true because Company *Y* common represents the same value that lies behind *both* the preferred and common of Company *X*.

Instead of comparing two equivalent companies such as *X* and *Y*, we may assume that Company *X* is recapitalized so that the old common is eliminated and the preferred becomes the sole stock issue, *i.e.*, the new common stock. (To coin a term, we may call such an assumed change the "communizing" of a preferred stock.) Then our principle merely states the obvious fact that the value of such a hypothetical common stock cannot be *less* than the value of the preferred stock it replaces, because it is equivalent to the preferred *plus* the old common. The same idea may be applied to a speculative bond, followed either by common stock only or by both preferred and common. If the bond is "commonized," *i.e.*, if it is assumed to be turned into a common stock, with the